Employee Compensation and Development

Vergütung und Entwicklung – Compensation and Development

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Consulted	Thomas Bauer, Works Council Chair (Betriebsrat); Anja Richter, COO; Dr. Nadia Petrov, General Counsel and Data Protection Officer
Applies to	All employees of Norvane Systems GmbH at all sites, and all managers with people responsibility
Classification	Internal
Language	English. A German version is available from HR on request.

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1 Purpose and scope

This policy explains how we reward our employees and motivate them to achieve even better results. It outlines our guidelines for compensating employees according to their employment status, and describes our performance management and employee development practices. It forms part of the Employee Handbook (NS-HR-POL-005, section 5). Your individual employment contract (Arbeitsvertrag) and any binding agreement with the Works Council (Betriebsrat) take precedence over this policy.

2 Compensation

2.1 Employment categories

Category	How pay is set	Notes
Salaried employees (Angestellte)	Monthly gross salary, as stated in the contract	Majority of employees; position in the career framework (section 2.2)
Garching shift employees	Monthly gross salary plus shift supplements	Supplements as stated in the contract and agreed with the Works Council
Sales roles	Fixed salary plus variable pay under the annual sales compensation plan	Plan issued by VP Sales (Olivia Brandt) each January
Working students (Werkstudenten)	Hourly wage, recorded in Personio	Never below the statutory minimum wage
Interns and apprentices	Pay as set in the internship or training agreement	Statutory minimum rules apply where relevant

If you are unsure how your pay is classified, ask HR (hr@norvane.example). The statutory minimum wage applies to every employee, and no employee is paid less than it.

2.2 Career framework and salary bands

Roles are assigned to career levels from Level 1 (entry) to Level 7 (senior leadership). Each level has a salary band, which HR reviews every year against market data for IT services in Germany. Your level is stated in your contract or in your latest salary letter. HR can explain how your role is levelled.

2.3 Fair pay and pay transparency

We pay for the work done and for performance, regardless of gender, origin or other protected characteristics (General Equal Treatment Act, AGG). Under the Pay Transparency Act (Entgelttransparenzgesetz), you can ask for information on how your pay compares with that of colleagues who do the same or equivalent work. You can send your request to HR or to the Works Council.

2.4 Variable pay and recognition

Pay increases and bonuses are not guaranteed unless your contract says so. We encourage managers to recommend rewards for their team members when they deserve them. Besides the annual salary review, we recognise good work in financial and non-financial ways:

Form	Description	Approval
Annual salary review	Decided in March, effective 01.04., based on the year-end review and the salary band	Department head, HR Director, CFO
Spot award	One-off recognition of up to EUR 250 for outstanding work on a project or incident	Department head
Peer recognition	Public thanks in the team channels and at the quarterly all-hands meeting	No approval needed
Anniversary recognition	Small gift and a thank-you note from the Managing Directors for 5, 10 and 15 years of service	HR

3 Working time and overtime

Occasionally we may need you to work more than your regular working hours. All employees record their working time in Personio, except where the contract provides otherwise. Overtime must be ordered or approved by your line manager in advance. The legal limits of the Working Time Act (Arbeitszeitgesetz) always apply, and the flexitime rules of NS-HR-POL-002 apply to the flexitime account.

Group	How overtime is compensated
Office staff and Customer Support	Time off in lieu through the flexitime account; payment only where the contract or the law requires it
Garching shift employees	Overtime ordered by the shift lead; time off in lieu or payment as stated in the contract; shift supplements are not part of overtime
On-call duty (Rufbereitschaft)	Allowance or time credit as agreed in the contract and with the Works Council; call-outs count as working time
Employees with trust-based working time (Vertrauensarbeitszeit), for example department heads	As stated in the contract; the legal limits on working time still apply

Please record your overtime accurately so that we can calculate your time account and pay correctly. If you regularly work more than your contract hours, talk to your line manager; persistent overload is a matter for the risk assessment (NS-HR-POL-004), not something to be absorbed silently.

4 Payroll

4.1 Payment

We pay your salary or wage monthly, on the last working day of the month, by bank transfer in euros to the account you registered in Personio. You receive your payslip electronically in Personio. Payroll is prepared by HR in Personio and processed by Finance in DATEV.

Date	What happens
By the 15th of the month	Deadline for changes that affect that month's payroll (new bank details, approved expenses, overtime payments)
By the 3rd working day	Working students submit the previous month's hours in Personio
Last working day	Salary is paid and the payslip is available in Personio

4.2 Deductions and personal data

We deduct income tax, solidarity surcharge where applicable, church tax where applicable and your share of the social security contributions as required by law. Please keep your tax and personal data in Personio up to date, in particular your tax identification number (Steuer-ID), tax class and health insurance fund. Payroll data are treated as confidential and processed in line with NS-LEG-POL-001.

4.3 Errors

If you find an error on your payslip, tell HR (Jordan Ellis, ext. 2020) as soon as possible. Underpayments are corrected with the next payroll run, or earlier in urgent cases. Overpayments are discussed with you first, and the repayment is agreed in writing.

5 Performance management

5.1 Objectives

We have built our performance management practices to:

- Ensure you understand your job responsibilities and have specific goals to meet.
- Provide you with actionable and timely feedback on your work.
- Invest in development opportunities that help you grow professionally.
- Recognise and reward your work in financial or non-financial ways, for example with spot awards.

5.2 Annual cycle

To meet these objectives, we have established annual performance reviews with a mid-year check-in. In the reviews, your line manager completes your evaluation in Personio and meets with you to discuss it. The discussions aim to recognise employees who do well, to identify areas for improvement and to talk about career moves.

Stage	Timing	Content	Responsible
Probation review	Month 5 of the 6-month probation	Feedback and decision on continuation	Line manager, HR
Goal setting	January	3 to 5 goals for the year agreed	Line manager, employee
Mid-year check-in	July	Progress, feedback, adjustment of goals	Line manager, employee
Year-end review	December	Assessment of results and behaviours, development plan	Line manager, employee
Salary decisions	March	Salary review effective 01.04.	Department heads, HR, CFO

5.3 Assessment scale

Rating	Meaning
Exceeds expectations	Results and behaviour clearly above what the role requires
Fully meets expectations	Results and behaviour meet the requirements of the role
Partly meets expectations	Some goals missed; an improvement plan is agreed
Does not meet expectations	Goals largely missed; the process in NS-HR-POL-006 may follow

There is no forced ranking and no comparison between employees by quota, as our goal is to help all employees improve and develop their careers. You can add your own comments to the evaluation, and you can ask the Works Council to join the discussion.

5.4 Regular one-to-one meetings

We have instructed all managers to meet their team members at least every 4 weeks to give feedback and to discuss their work and motivations. In this way you receive feedback in a timely manner and avoid surprises in your annual review.

6 How we expect managers to lead

If you manage a team, you are responsible for your team members' performance. To conduct effective regular meetings and performance reviews, we expect you to:

Expectation	What it means in practice
Set clear objectives	Your team members should know what you expect of them. When someone joins your team, make sure they understand their duties. Set specific goals for each team member, and team-wide goals where applicable, and revisit them in the mid-year check-in and the year-end review.
Provide useful feedback	In scheduled meetings, give both guidance and praise as appropriate. Be fair and specific so that your team member can understand and apply your feedback.
Keep your team members involved	Communication goes both ways. Make your expectations clear, but take your team members' motivations and aspirations into account. Discuss training and development opportunities that may interest them.
Keep factual notes of important events	Notes on important incidents and results help you to evaluate your team and may support decisions on rewards, promotion or disciplinary steps. Keep them factual, store them only in Personio, and be aware that employees can ask to see them. Notes are deleted after 2 years unless they are part of a formal process.

New managers complete the leadership essentials training within 6 months of their appointment. HR (Julia Neumann) and the HR Business Partner (Mariam Haddad) support managers on feedback, difficult conversations and team development.

7 Training and development

We owe our success to our employees. To show our gratitude, we invest in your professional development. We want you to feel confident in improving your efficiency and productivity, and we want to help you achieve personal growth and success.

7.1 Learning budget

Each employee has EUR 1,500 per calendar year to spend on educational activities or material. Subscriptions and books are included in this budget, unless they are necessary to complete your everyday duties. Your line manager approves the use of the budget, and you claim the costs as an expense in Personio within 30 days (NS-HR-POL-007, section 6). Unused budget is not carried over. Certifications that are required for your role or by customer contracts are paid centrally and do not count against your budget.

For external training with costs above EUR 3,000, we may ask you to sign a repayment agreement (see NS-HR-POL-006, section 3.4). Time for approved training counts as working time.

7.2 Training opportunities

Apart from online courses, we offer these training opportunities:

Format	Description
Formal training	Individual or in-house courses, workshops and certification programmes
Coaching and mentoring	Mentors from another department, matched by HR twice a year; coaching for managers
Industry conferences	Seats at conferences, approved by the department head
On-the-job training	Structured onboarding and training plans for new roles
Job shadowing	Short stays in another team, for example Engineering with Customer Support
Job rotation	Time-limited moves between teams, agreed between both department heads and HR

7.3 Mandatory training

Training in information security, data protection and workplace safety is mandatory. You complete it in the learning platform within 30 days of joining and then once a year. Your line manager receives a reminder if it is overdue.

7.4 Educational leave and responsibilities

Employees in Berlin and Hesse also have a statutory right to educational leave under state law (Bildungszeit in Berlin, Bildungsurlaub in Hesse). Bavaria has no such law. Talk to HR if you would like to use it. Development is a collective process: team members and managers should regularly discuss learning needs and opportunities, and HR (Jordan Ellis) facilitates development activities and processes.

8 Key contacts

Topic	Contact	Email	Ext.
Payroll, payslips, salary letters	Jordan Ellis, HR Generalist	jordan.ellis@norvane.example	2020
Policy owner, salary review	Julia Neumann, HR Director	julia.neumann@norvane.example	2001
Manager support, development	Mariam Haddad, HR Business Partner	mariam.haddad@norvane.example	2010
General HR questions	HR team	hr@norvane.example	2000
Payroll processing in DATEV	Stefan Hoffmann, CFO	stefan.hoffmann@norvane.example	1200
Sales compensation plan	Olivia Brandt, VP Sales	olivia.brandt@norvane.example	5000
Works Council (Betriebsrat)	Thomas Bauer	betriebsrat@norvane.example	2500
Personio access	Helpdesk	helpdesk@norvane.example	3000

9 Related documents

Document ID	Title	Relevance
NS-HR-POL-001	Code of Conduct	Expected behaviour
NS-HR-POL-002	Leave and Absence Policy	Flexitime account and overtime
NS-HR-POL-004	Workplace Policies (v2.1, effective 01.01.2026)	Workload and risk assessment
NS-HR-POL-005	Employee Handbook – Overview and Introduction	Section 5 summarises this policy
NS-HR-POL-006	Resignation and Termination Policy	Discipline and training repayment
NS-HR-POL-007	Employee Benefits and Perks	Expense claims
NS-LEG-POL-001	Data Protection Policy	Payroll and personnel data

10 Version history

Version	Date	Author	Change
1.0	01.03.2024	Julia Neumann	First issue
1.1	01.01.2025	Julia Neumann	Introduced the mid-year check-in and the assessment scale
1.2	01.01.2026	Julia Neumann	Learning budget raised to EUR 1,500; aligned with Employee Handbook v1.2

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